

ORIGINAL

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(AUGUST 20, 1992)
(FEDERAL MARITIME COMMISSION)

FEDERAL MARITIME COMMISSION

WASHINGTON, D.C.

August 20, 1992

DOCKET NO. 89-26

THE GOVERNMENT OF THE TERRITORY OF GUAM, ET AL.

v.

SEA-LAND SERVICE, INC. AND
AMERICAN PRESIDENT LINES, LTD.

**ORDER DENYING RESPONDENTS' (1) MOTION TO DISMISS OR TO
GRANT SUMMARY DISPOSITION ON CERTAIN OF COMPLAINANTS' CAUSES
OF ACTION AND ALLEGATIONS AND (2) REQUEST FOR ORAL ARGUMENT**

Respondents Sea-Land Service, Inc. (Sea-Land) and American President Lines, Ltd. (APL) (collectively, respondents) move to dismiss certain claims and alleged causes of action set forth in the complaint, as amended. The Government of the Territory of Guam, et al. (GovGuam) replied.

Motions to dismiss are to be construed against the moving parties and in the light most favorable to complainants. Movants for dismissal must accept facts alleged by

complainants as true for the purposes of ruling on the motion. To the extent respondents' motion is one for summary judgment instead of a motion to dismiss, the standard to be applied is virtually the same.

*GovGuam's Section 16 (First) Claim
Regarding Household Goods*

GovGuam contends that section 16 (First) is violated because of the effect of respondents' rules governing the "mixing" of household goods (HHG) with other containerized commodities on certain unidentified non-vessel operating common carriers (NVOCCs). The evidentiary support for this claim consists of two unsponsored and unsworn letters from persons not associated with this proceeding. See Exhibits G-115 and G-116. Respondents move to exclude these exhibits from the evidentiary record and dismiss the section 16 (First) allegations. GovGuam responded.

Conclusion

The reliability of the letters can be tested after GovGuam completes its filing of evidence in this regard. The order of June 25, 1992, permitted GovGuam to provide additional written testimony to support its section 16 (First) allegations. Respondents will have further opportunity to contest these exhibits and in the circumstances the motion to dismiss GovGuam Exhibit Nos. 115 and 116 is overruled and the motion to dismiss the section 16 (First) allegation is denied.

*Motion to Dismiss as to Any Claim of Rate
Unreasonableness Prior to January 1, 1988*

Respondents seek to dismiss any claims of Shipping Act violations in years prior to 1988. Respondents make this motion because GovGuam's written direct case, submitted on March 18, 1992, contains extensive data and analysis relating to respondents' purported costs, revenues and rates of return in the Guam trade for the period 1984 through 1987, as well as extensive discussion of rates for numerous individual commodities which none of the complainants have shipped and for which allegedly no relief could be granted. The testimony of Dr. Ernest Nadel, submitted as part of complainants' written direct case, contains extensive analysis and discussion, purportedly using G.O. 11 methodology, to calculate APL's overall costs, investment, revenues, and rates of return in the Guam trade for each year during the period 1984 through 1990, as well as derivative testimony purporting to relate the G.O. 11-determined figures to rates for a number of individual commodities during the period 1987 through 1990.

Respondents urge that any adjudication of the reasonableness and lawfulness of respondents' rates prior to 1988 would serve no regulatory purpose, because even with a favorable finding, the statute of limitations bars any relief because any finding that respondents' rates were unreasonable five or more years ago could not provide the basis for award of prospective relief such as a cease and desist order due to the changed conditions over the five years.

Respondents note that GovGuam has indicated that data on the carriers' financial performance prior to 1988 was relevant only as background; that the pre-1988 data was

needed "to put today's rates into an historical concept," and "for historical comparison purposes, to try to find out why the rates were set as they were and why they are as they are today." Respondents point out that conditions in the Guam trade and the nature of the carriers' services have changed over time; that the vessels and itineraries used by APL in the Guam trade varied markedly during the period from 1984 to 1990.

GovGuam replies that evidence as to alleged violations which fall outside the statutory period for reparations are essential to its case; that it establishes the historical bases for existing rates; that it demonstrates a pattern and practice of "overcharges"; that it helps demonstrate that the carriers have known for years that their rates were excessive and that the carriers have manipulated the G.O. 11 data to cover up the excessive rates; that the evidence as to alleged past violations is also essential in establishing that APL's recent revisions to its G.O. 11 methodology, which greatly reduced annual rates of return, are inconsistent with years of prior practices; and that it is an essential component for the ultimate determination in this case of what relief will be awarded.

Conclusion

Data on the carriers' performance prior to 1988 is relevant as background and to examine present rates in an historical perspective and for possible utility in fashioning relief for any violations GovGuam may establish. Respondents have presented insufficient basis to grant the motion to dismiss any claim of rate unreasonableness prior to January 1, 1988.

*Claims Seeking Findings of Past Violations Involving
Specific Rates for Which No Complainant
is Entitled to Seek Reparations*

As to respondents' motion to dismiss claims with respect to rates for specific commodities for which no complainant has standing to claim reparations in this proceeding, respondents point out that complainants' written direct case includes 29 individual commodity rates that are the subject of almost 2500 detailed comparisons between rates to Guam and rates to Japan or Taiwan, 18 individual commodity rates listed in Count II of the complaint and which are analyzed separately in complainants' written testimony, 29 individual rates for "major commodities" that are also the subject of a separate analysis by complainants' expert, and, in addition, complainants also seem to argue that any of the roughly 200 individual commodity rates in respondent's Guam tariffs can be determined to be unlawful by reference to respondents' overall rates of return in the Guam trade.

For a very large number of these rates, respondents believe there is no complainant in this proceeding who would be entitled to claim reparations even if the rates were to be found unreasonable. With respect to shipments on APL, respondents' analysis indicates that there is no complainant with standing to seek reparations for roughly 35 out of the 52 individual tariff items specifically discussed in complainants' written direct case, or for roughly 160 of the approximately 200 individual items in APL's FMC tariffs covering the Guam trade. Sea-Land has determined that the total number of issue shipments of complainants which it handled is relatively small. Respondents recognize that section 22 allows "any person" to bring a complaint alleging a violation of the Act even in the absence of a claim for reparations; that the "any person" language has been used to allow complaints

to proceed where a particular violation, if proven, would provide a sufficient basis for some type of affirmative relief, such as a cease and desist order. See, e.g., *Petchem, Inc. v. Canaveral Port Authority*, 23 SRR 480, 498 (Init. Dec. 1985) (complainant allowed to maintain action even though not alleging actual harm; finding of violation could result in cease and desist order). Respondents argue that a finding of violation in the past (as opposed to a continuing violation) cannot warrant prospective relief (even assuming *arguendo* continuing jurisdiction). GovGuam replied.

Conclusion

Complainants clearly have standing to file the complaint and proof of injury on the part of a shipper is not *shown to be a condition precedent* to obtaining relief other than reparations. Types of orders granting relief for the future include cease and desist orders and those directed at unjustly discriminatory rates, *inter alia*. The motion to dismiss is denied as to claims with respect to rates for specific commodities for which no complainant has standing to claim reparations in this proceeding.

Claims for Reparations for Which the Documentation Required by Judge Ingolia's November 1, 1991 Order Has Not Been Produced

Respondents also move to dismiss any claims for reparations for which documentation has not been produced as required by the November 1, 1991, Procedural Order issued by then-Presiding Judge Ingolia.

Paragraph 1 of the November 1, 1991, Order directs each of the complainants to provide documentation establishing proof of payment for each shipment for which reparations are to be claimed. Complainants have produced documentation pursuant to this Order. GovGuam has not indicated that the documentation produced is anything but complete. Out of caution, however, and in order to avoid any possibility of surprise, respondents move to preclude consideration of any reparations claims for which the required documentation was not produced. GovGuam responded.

Conclusion

GovGuam claims to have complied with the November 1, 1991, Order and submitted the required documentation. Respondents do not point to any respect in which the documentation is incomplete or any manner in which GovGuam has failed to comply with the November 1, 1991, Order. Respondents' request for further relief at this point in the proceeding is not shown to be necessary and is denied.

Section 18(A) Complaint and Trade-Wide Rates of Return

Respondents contend that GovGuam's trade-wide (macroeconomic) rate of return analysis based on FMC General Order 11 (46 CFR 552) (G.O. 11) is irrelevant in a complaint proceeding alleging that respondents' rates were unjust or unreasonable in violation of section 18(a) of the Shipping Act, 1916; that a section 18(a) commodity specific analysis and G.O. rate of return analysis cannot be mixed and that the issues in those two

types of proceedings are essentially different. GovGuam responded. GovGuam believes that the cost of service and revenue adequacy elements that underlie the G.O. 11 analysis of rates in the trade are relevant to the evaluation of the maximum reasonableness of the assailed rates; that the analysis of total revenue, average rates and trade-wide rate of return as they compare, respectively, to required revenue, average cost and allowable rate of return, is relevant here; and that the measure of how much any particular rate exceeds a maximum reasonable level may be determined by the extent to which the average rate is excessive. GovGuam did not challenge APL's underlying data, accounting procedures, revenue classifications or expense classifications. GovGuam used an application of the G.O. 11 data which leads to a different rate of return for the Guam trade than that derived by APL for the years 1984-1980.

Conclusion

Respondents recognize that this is not a general revenue proceeding in which shippers are attempting to contest the reasonableness of individual rates. Here, GovGuam seeks to insert evidence as to a G.O. 11 rate-of-return analysis into a complaint proceeding urging violations of section 18(a) of the Shipping Act, 1916. Respondents will have the opportunity to challenge that data in their evidentiary filing, but they have not sustained their burden of establishing appropriate grounds warranting grant of their motion to dismiss GovGuam's rate of return arguments and evidence at this juncture of the proceeding. Respondents' motion to dismiss is denied.

Request for Oral Argument

Respondents request oral argument to address four issues as to which they believe GovGuam has misunderstood the nature of the relief respondents have requested:

(1) They seek to clarify how evidence relating to years prior to 1988 should be treated. In their view such evidence may be admitted but not for the purpose of determining whether a violation occurred or for any liability prior to 1988.

(2) They seek to clarify the difference between any subsequent damages stage under bifurcation and the order of November 1, 1991, regarding proof of payment for any shipments for which reparations are to be claimed.

(3) Respondents urge that it is not clear whether GovGuam challenges only Sea-Land Motor Freight's overland movements from Long Beach to Oakland or those involving other entities.

(4) Respondents seek to clarify the procedural status of claims which GovGuam states have not been abandoned but which GovGuam acknowledges it will not pursue. GovGuam sees no need for oral argument and opposes the request.

Conclusion

The parties have adequately addressed the issues in the motion and reply and no need is perceived for any oral argument and respondents' request for oral argument is denied.

Miscellaneous

In section II of the motion respondents have referred to certain subsidiary claims which have been eliminated from the proceeding through stipulations and other means. Respondents consider these to be noncontroversial housekeeping matters, move for their dismissal, and attach a draft order. Complainants agree that, with one exception, the claims in section II are now out of the case. However, complainants did not address the draft order. In the circumstances the parties are directed to prepare a draft order to which they can agree as to those matters which are no longer in issue.

IT IS ORDERED:

Respondents' motion to dismiss or to grant summary judgment in their favor is denied.



Frederick M. Dolan, Jr.
Administrative Law Judge